## BIG RELIEF

*HOW TAX SLABS HAVE CHANGED FOR SELECT ITEMS*

Earlier
Now



Health & life insurance (individual)
18% nil



Daily household items like toothpaste, soap bar
18% 5%



Utensils
12% 5%



Tractors
12% 5%



Television
28% 18%



Air conditioners
28% 18%



Petrol, hybrid, CNG cars (up to 1,200cc)*
28% 18%



Diesel/hybrid cars (up to 1,500 cc)*
28% 18%

*sub-4 metre

been achieved now," says M.S. Mani, partner at Deloitte India.

Posting on social media, Prime Minister Narendra Modi called the rate cuts a "wide-ranging reform", emphasising how it significantly benefits the common man by reducing tax burdens, boosting affordability and streamlining compliance. The next morning, the market reaction was swift: domestic equities jumped, with Nifty futures up by about 1 per cent, as investors cheered the reform, combined with a projected GDP gain of 0.6–0.7 percentage points over the coming year, cushioning the expected Rs 90,000 crore GST revenue loss.

The timing is important. Nearly 30 per cent of all consumer durable sales happen during the festive season, and despite the uncertainty caused by the steep US tariffs, this move is expected to increase demand, boost industry volumes and create multiplier effects in manufacturing and jobs, says Hemant Jain, president, PHD Chamber of Commerce and Industry.

### A NUDGE TO CONSUMPTION

The immediate benefit is tangible. By cutting rates on everyday goods—such as toiletries, packaged foods and utensils—from 18–12 per cent to 5 per cent—the reform will ease household budgets and lift savings, which in turn should fuel consumption, says Ranjeet Mahtani, partner at Dhruva Advisors. Prices of such essentials could very well drop by around 10 per cent.

Likewise, lowering rates on smaller automobiles and electronic appliances from 28 to 18 per cent marks a transition better aligned with a growing economy. "What were aspirational goods back in 2017 when GST was introduced have become necessities now," says Mani. Even rural spending—already stirring with double-digit growth in two-wheeler sales and packaged foods—could find another tailwind. Nilesh Shah, MD of Kotak Mutual Fund, describes the reform as "*ek teer, kai nishaan*" (one arrow, many targets), pointing to its multiple aims: cooling inflation, countering global tariff pressures and boosting growth as well as transparency.

The 40 per cent 'sin and luxury' bracket will apply to select items such as mid- and high-end cars, aerated drinks and tobacco even as individual life and health insurance have been totally exempted. Sitharaman also announced the phasing out of the compensation cess—introduced to offset states' revenue losses in the first five years of GST and levied at 5 to 22 per cent. For consumers, that translates into lower effective taxes compared to the current regime. A mid-size car, for instance, now attracts 28 per cent GST plus a 15 per cent cess, pushing the effective rate to 43 per cent and, in some categories, even 48 per cent. This will come down in the new regime.

The reform goes beyond reducing and simplifying taxes. Structural changes, notes Pratik Jain, partner at Price Waterhouse, are set to benefit businesses and signal that more reforms are to come. For one, the two-tier structure will cut disputes over product classification and reduce litigation. Compliance irritants—such as delays in input tax credit (ITC) refunds—have also been ironed out.

### THE FAULT LINES

Yet beneath the celebratory headlines lie pitfalls. Rate rationalisation is still incomplete, with anomalies in sectors such as textiles, footwear and real estate fuelling classification disputes—the oft-cited example being shirts priced at Rs 999 and Rs 1,001 falling into different tax brackets. Anuj Puri, chairman of the real estate consultancy ANAROCK, notes that while commercial real estate attracts 12 per cent GST with ITC benefits, recent changes have muddied the waters. The removal of ITC on commercial leasing means developers can no longer offset project costs, pushing up operational expenses and, ultimately, rentals.

States, meanwhile, remain uneasy about revenue buoyancy, making timely transfers from the Centre a politically charged issue. Telangana has warned of a potential Rs 6,000 crore annual loss to the state revenue, while Jharkhand projects a Rs 3,000 crore shortfall. Yet the political calculus is clear. With GST 2.0, the Modi government reinforces its pro–middle class, pro-consumer narrative. Framed as a "Diwali gift" that lightens burdens even in inflationary times, the reform lands just as Bihar heads to the polls and with tougher contests looming in West Bengal, Tamil Nadu, Kerala and Assam in 2026. Whether the economic outcome matches the political intent will hinge on execution. ■